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The Effect of Electricity Cost in Nigeria

Executive Summary

The cost of electricity in Nigeria has become a significant burden on the country's economy, with businesses and households spending a substantial amount on alternative energy sources due to the unreliable and expensive public utility. According to [1], Nigerian companies spent N400.83 billion on diesel, gas, and other alternative energy sources in the first quarter of 2026, representing a 3.66% increase over the same period in 2025. This report will examine the impact of electricity costs on the Nigerian economy, the inefficiencies in the system, and the effects of tariff increases on consumers.

The Economic Impact of Electricity Costs

The cost of electricity in Nigeria has severe implications for the country's economic growth. As stated in [1], the World Bank estimates that unreliable electricity costs Nigeria about $29 billion annually, equivalent to roughly 5-7% of GDP. This makes poor power supply one of the country's biggest constraints to economic growth. Furthermore, the African Development Bank estimates that more than 70% of Nigerian firms own or share generators, among the highest rates anywhere in the world [1]. The operating cost of these generators is reportedly between $20 billion and $22 billion every year in fuel alone [1]. This is a significant economic burden that could be avoided if the public utility were reliable and affordable.

The high cost of electricity also affects the competitiveness of Nigerian businesses. As noted in [2], the financial strain of COVID-19 has impacted the purchasing power of consumers and decreased electricity demand across the economy. The increase in tariffs has further exacerbated the situation, making it difficult for businesses to operate profitably. For instance, Dangote Cement spent N184.87 billion on energy during the first quarter of 2026, while BUA Cement spent N67.34 billion [1]. These figures highlight the enormous premium Nigerian businesses pay for a public utility that ought to be available, reliable, and affordable.

Inefficiencies in the Electricity System

The high cost of electricity in Nigeria is not solely due to external factors such as gas prices, exchange rates, or inflation. As argued in [3], the inefficiency of the system's operations is a significant driver of the high costs. The electricity generated and used, and the revenue received, do not match up. This means that Nigerians are paying for inefficiency, and until this is confronted directly, tariff increases will fail to deliver the sector transformation they promise. The Nigerian Electricity Regulatory Commission (NERC) has introduced a new tariff structure, which aims to deliver financial sustainability and reduce tariff shortfalls [2]. However, the effectiveness of this structure is yet to be seen, and the recent tariff increase has been met with public backlash [3].

The inefficiencies in the system are also reflected in the high average electricity price in Nigeria. As reported in [4], the average electricity price in Nigeria has fluctuated between ~$42/MWh in 2024 and ~$136/MWh in 2022. This is significantly higher than the average electricity price in other countries. The high price is a disincentive for businesses and households to invest in the grid, leading to a vicious cycle of underinvestment and high costs. Furthermore, the lack of investment in clean energy is a significant concern, with Nigeria's power score ranking 14th in the Emerging Markets power ranking [4].

Conclusion and Recommendations

In conclusion, the effect of electricity cost in Nigeria is a significant burden on the country's economy. The high cost of electricity is driven by inefficiencies in the system, and the recent tariff increase has not addressed the underlying issues. To mitigate the effects of high electricity costs, the Nigerian government should prioritize investments in clean energy and improve the efficiency of the grid. As noted in [5], the residential electricity price in Nigeria is NGN 50.823 per kWh or USD 0.037, while the electricity price for businesses is NGN 65.770 kWh or USD 0.048. These prices are relatively high, and reducing them will require a concerted effort to address the inefficiencies in the system.

The government should also consider implementing policies that promote the use of renewable energy sources, such as solar and wind power. As reported in [4], Nigeria has a renewable energy target, but more needs to be done to achieve this target. The government should also provide incentives for businesses and households to invest in clean energy, such as tax breaks or subsidies. By addressing the inefficiencies in the system and promoting the use of clean energy, Nigeria can reduce the cost of electricity and promote economic growth.

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